

RD-8 — Fraud Prevention Program

Mintware · Bridge/Stripe Stablecoin-Issuing Card Program · Draft for internal legal/compliance review before submission

Note: every control below describes mechanisms that are genuinely built and tested today — not aspirational. Flag-gated items are noted as such. This document also states plainly what is not yet covered, at the end.

1. Spend authorization — belt and suspenders

Every card swipe passes through a two-layer decision. **Belt — role-based daily cap:** each member's spend is bounded by a fixed role-preset daily limit, checked against cumulative approved spend for the current UTC day, not just the single swipe in question. An optional 'standing' tier can widen this limit for members with a track record of settled spend, but can only ever widen a limit within the existing hard cap. **Suspenders — real-money backstop, fail-closed:** independently, every swipe is checked against either a pre-funded, atomically-reserved buffer balance (row-locked so concurrent swipes cannot double-spend), or a live hold against the member's actual on-chain vault equity. If the live-hold service is unreachable or unconfigured, the swipe is declined — it never silently defaults to approved.

2. System-wide circuit breaker

Independent of any single member's spend, a global guard can halt all authorizations platform-wide — every charge, even a trivially fundable one, declines with a distinct reason, regardless of any individual balance or cap. This is a deliberate stop-loss: if a stress condition is detected upstream, the whole authorization surface halts rather than continuing to approve against a system that may not be able to honor them.

3. Always-liquid hot-buffer reserve

A configurable minimum-liquidity-reserve floor is enforced before any charge is allowed to draw liquidity below it — sized to absorb settlement-timing risk (weekend/holiday gaps, settlement slippage). A charge that would breach this floor is declined with its own distinct reason, separate from a plain insufficient-funds decline.

4. Multi-collateral, freshness-gated valuation

Where a member's spend authority spans more than one collateral type, the aggregate spendable amount is the sum of each position's equity, with a hard safety rule: a single stale price or stale NAV on any one leg fails the entire aggregate valuation safe. ETH-denominated legs are additionally reduced by a VaR-style haircut before being counted as spendable.

5. Idempotent, capped settlement

The on-chain settlement leg is capped under \$250 per transaction on the current settlement path, bounding maximum single-transaction exposure regardless of any other control. Settlement is idempotent per hold: a repeated settlement request for the same authorized hold cannot double-submit or double-pay.

6. Fail-closed posture as a design principle

Every money-moving control in this program defaults to declining, not approving, when a dependency is unavailable — an unreachable authorization service, or an unset bearer secret on an internal service, both result in rejection, never a default approval. This is a deliberate, repeated pattern across the system.

What this program does not yet cover

Device/behavioral fraud signals — velocity checks beyond the daily cap, geolocation anomaly detection, merchant-category risk scoring — are not yet built, and this document does not imply otherwise. Where Bridge/Stripe's own issuing stack provides network-level fraud signals, this section should be revised to describe how Mintware's controls compose with theirs.